financial positions, capitalization setups, and what not. Backward-leaning conservatism, run-of-the-mine featureless companies, the most peculiar combinations of "principal business," all kinds of Wall Street gadgets and widgets—they are all there, waiting to be browsed over, or studied with a serious objective.

The *Guides* give in separate columns the current dividend yields and price/earnings ratios, based on latest 12-month figures, wherever applicable. It is this last item that puts us on the track of our exercise in common-stock selection.

A Winnowing of the Stock Guide

Suppose we look for a simple *prima facie* indication that a stock is cheap. The first such clue that comes to mind is a low price in relation to recent earnings. Let's make a preliminary list of stocks that sold at a multiple of nine or less at the end of 1970. That datum is conveniently provided in the last column of the even-numbered pages. For an illustrative sample we shall take the first 20 such low-multiplier stocks; they begin with the sixth issue listed, Aberdeen Mfg. Co., which closed the year at 10¼, or 9 times its reported earnings of $1.25 per share for the 12 months ended September 1970. The twentieth such issue is American Maize Products, which closed at 9½, also with a multiplier of 9.

The group may have seemed mediocre, with 10 issues selling below $10 per share. (This fact is not truly important; it would probably—not necessarily—warn defensive investors against such a list, but the inference for enterprising investors might be favorable on balance.)[*] Before making a further scrutiny let us calculate some numbers. Our list represents about one in ten of the first 200 issues looked at. On that basis the *Guide* should yield, say, 450 issues selling at multipliers under 10. This would make a goodly number of candidates for further selectivity.

So let us apply to our list some additional criteria, rather similar to those we suggested for the defensive investor, but not so severe. We suggest the following:

1. Financial condition: *(a)* Current assets at least 1½ times current liabilities, and *(b)* debt not more than 110% of net current assets